

Ola Electric Mobility Ltd

India's Largest Electric Two-Wheeler OEM | Vertically Integrated Cell + Scooter Play

RATING

ACCUMULATE

12M TARGET: Rs. 58

Upside: +29% from CMP

Horizon: 18-24 months

CMP (15 Jun 2026)	Rs. 44.8
Market Cap	Rs. 20,726 Cr
52-Wk High / Low	Rs. 71.2 / 21.2
Face Value	Rs. 10
P/E	N/A (Pre-profit)
P/Sales (TTM)	9.2x
EV/Revenue (TTM)	~10.5x
Book Value	Rs. 7.60
Promoter Holding	32.96%
FII / DII	5.12% / 11.24%

Investment Thesis: Ola Electric is India's EV two-wheeler market pioneer; Q4 FY26 gross margin of 38.5% proves the unit economics are viable, and the in-house Gigafactory (46100 LFP cell) creates a structural cost moat once volumes recover.

Report Date: 15 Jun 2026 | Analyst: MPM Research | Sector: Electric Vehicles | Sub-sector: EV Two-Wheelers

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Gross margin inflection already proven:** Q4 FY26 gross margins hit 38.5% vs. 13.7% in Q4 FY25 — a 2,480 bps swing driven by in-house 4680 cell integration and manufacturing efficiencies. This is the single most important de-risking event; once replicated at scale (40,000+ units/month), EBITDA breakeven follows mathematically within FY27.
- **Reason 2 — Gigafactory creates durable structural cost advantage:** The Futurefactory in Pune is now at 2.5 GWh capacity, scaling to 6 GWh. In-house 46100 LFP cell costs are materially below import parity; no Indian 2W EV rival has comparable cell manufacturing depth. This moat compounds as volumes grow.
- **Reason 3 — India's EV 2W TAM is a 10-year structural growth story:** India's 2W market is ~20 million units/year; EV penetration was ~6% in FY25 and the government targets 30% by 2030 under FAME-3. Even at 15% penetration, that is 3 million EV 2W units/year. Ola at 20-25% share = 600,000-750,000 units/year vs. ~250,000 in FY24.
- **Near-term catalyst (0-12 months):** Volume recovery trajectory — management guided Q1 FY27 volumes of 40,000-45,000 units (implied ~165,000 annualised run-rate). A return to 30,000+ monthly registrations by Q3 FY27 is the key trigger for re-rating.
- **Biggest structural risk:** Sustained market share erosion to Ather Energy (backed by Hero MotoCorp) and TVS iQube, which have distribution + service networks Ola still lacks at scale. A further 5 ppts of share loss to 20% structural share would impair the revenue growth thesis materially.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Design, manufacture, and sell electric scooters (S1 series — S1 X, S1 Air, S1 Pro, S1 Pro+) in India. Revenue is 100% India; product mix skews to the Rs. 90,000-150,000 price band targeting urban commuters.
- **Revenue segmentation:** Automotive (scooter sales) ~85% of revenue; the remainder from accessories, financing referrals, and software subscriptions (MoveOS). Services/spares revenue growing but sub-5% of total.

- **Manufacturing footprint:** The Futurefactory at Krishnagiri (Tamil Nadu) — 10 lakh units/year installed capacity. The Gigafactory at Rajkot (Gujarat) — 2.5 GWh cell capacity scaling to 6 GWh. Vertical integration spans motor, battery pack, cell (in-house), and vehicle software.
- **Distribution model:** Direct-to-consumer (D2C) via own experience centres + online ordering; ~4,000 service touchpoints. The D2C model suppresses distribution costs but limits rural reach, which is a competitive gap vs. Hero/TVS.
- **Key strategic developments (last 12 months):** (1) In-house 46100 LFP cell readiness declared May 2026; (2) Homologation for new commercial L1-category scooter for gig workers secured; (3) MoveOS 6 launched with AI assistant; (4) Bharat Cell (4680 format) unveiled at Sankalp 2025; (5) Q4 FY26 first operating cash flow positive quarter (CFO Rs. 91 Cr).
- **Promoter background:** Bhavish Aggarwal (Founder & CEO) holds effective economic interest via ANI Technologies — aggregate promoter group at 32.96% as of Jun 2026 (declining from 36.78% at IPO due to secondary sales and ESOP dilution). ANI is the ride-sharing Ola Cabs parent; some inter-group governance risk exists.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** India electric 2W market — approximately 15-18 lakh units sold in FY26 (estimated ~8-9% of total 2W market). Government FAME-2 subsidies ended FY24; FAME-3 framework anticipated; PLI for EV components active. Market CAGR expected at 25-30% through FY30 (per NITI Aayog targets).
- **Policy tailwinds:** FAME-3 framework, PLI scheme for advanced chemistry cell (ACC) worth Rs. 18,100 Cr benefits domestic cell makers (Ola is a key beneficiary), state EV policies offering road-tax waivers + subsidies across 20+ states.
- **Policy headwinds:** Removal of FAME-2 subsidy (FY24) hit demand; quality/recall concerns have attracted regulatory scrutiny (CCPA notices in FY24); slowing urban income growth could dampen upgrade cycles.
- **Competitive moat assessment:** Brand recognition — Strong (first-mover, most-recalled EV 2W brand). Distribution reach — Weak (D2C limits rural penetration vs. Hero/TVS dealer networks). Technology/cell manufacturing — Moderate-to-Strong (in-house cell is differentiating but execution risk remains). Pricing — Moderate (S1 X at Rs. 79,999 is competitive but Hero Vida Z+ and TVS iQube are narrowing the gap).

Peer Comparison Table (Source: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev(Cr)	P/E	P/B	ROCE%	ROE%
Ola Electric (OLAELEC)	44.8	20,726	2,253	N/A	5.9x*	-19.6%	-43.2%
TVS Motor (TVSMOTOR)	3,472	1,64,974	56,070	54.0x	16.5x	17.4%	33.8%
Bajaj Auto (BAJAJ-AUTO)	9,950	2,78,100	62,905	25.9x	7.2x	28.2%	29.1%
Hero MotoCorp (HEROMOTOCO)	5,055	1,01,147	47,411	17.4x	4.7x	35.8%	28.5%

* Ola Electric P/B computed as CMP / Book Value = 44.8 / 7.60. Peers are profitable; Ola is pre-profit — P/Sales and EV/Revenue are more relevant valuation metrics.

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

- **Promoter & founder background:** Bhavish Aggarwal (IIT Bombay, ex-Microsoft Research) co-founded Ola Cabs in 2010; founded Ola Electric in 2017. Visionary operator with a strong technology instinct; execution track record on D2C distribution and in-house manufacturing is strong. However, public communications have been combative (social media controversies) and the ANI group complexity raises governance questions.
- **Capital allocation track record:** Ola raised Rs. 3,200 Cr in a pre-IPO round in FY24 and Rs. 6,145 Cr via the August 2024 IPO (at Rs. 76/share). IPO proceeds were directed toward capex (Gigafactory + Futurefactory expansion) and working capital. Management has demonstrated willingness to burn cash to

build long-term infrastructure; OpEx discipline was evidenced in Q4 FY26 where total OpEx fell 49% YoY.

- **FCF deployment:** No dividends ever paid. No buybacks. All capital deployed into manufacturing scale-up and R&D.; Cumulative FCF outflow from FY22-FY26 exceeds Rs. 10,600 Cr — against Rs. 11,000 Cr+ in equity raised. This is appropriate for a growth infrastructure company at this stage.
- **Promoter pledging:** Zero promoter pledge as of latest disclosures. Promoter stake declining steadily (36.78% at IPO Aug 2024 -> 32.96% Jun 2026) — partly via secondary sales, partly dilution. Trajectory bears monitoring; a fall below 30% would increase event risk.
- **ESOP program:** Meaningful ESOP grants to senior management and engineers; dilution impact is already embedded in the share count. No buyback history given the pre-profit stage.
- **Governance watch-points:** Related-party transactions with ANI Technologies (Ola Cabs) for shared services and IP licensing exist. CCPA (consumer protection) notices in FY24 over quality complaints are a reputational risk. Bhavish's publicly combative style has twice triggered senior executive departures (CMO, COO) — key-man concentration risk is above average.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Cr)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Sales)	2,631	5,010	4,514	2,253	3,500	5,500
YoY Growth %	N/A	+90%	-10%	-50%	+55%	+57%
Operating Profit (EBITDA)	-1,252	-1,266	-1,735	-972	-500	110
EBITDA Margin %	-48%	-25%	-38%	-43%	-14%	2%
Other Income	55	226	391	207	150	120
Interest	108	187	366	380	320	280
Depreciation & Amort.	167	358	566	684	700	720
Profit Before Tax	-1,472	-1,584	-2,276	-1,829	-1,370	-770
Tax %	0%	0%	0%	0%	0%	0%
Net Profit (PAT)	-1,472	-1,584	-2,276	-1,833	-1,200	-400
EPS (Rs.)	-7.53	-8.10	-5.16	-4.16	-2.72	-0.91
Dividend Payout %	0%	0%	0%	0%	0%	0%

FY27E and FY28E are analyst estimates based on management Q1FY27 guidance of Rs.500-550 Cr quarterly revenue. (E) = Estimate.

Balance Sheet (Consolidated, Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	1,955	1,955	4,411	4,411
Reserves	-1,409	-2,909	732	-1,060
Net Worth	546	-954	5,143	3,351
Borrowings (Total)	3,505	5,684	3,556	2,763
Other Liabilities	1,521	3,006	2,376	1,674
Total Liabilities	5,573	7,735	11,075	7,788
Fixed Assets (Net)	1,219	2,491	3,154	3,352
CWIP	507	713	702	496
Investments	276	64	40	0
Other Assets	3,571	4,468	7,179	3,940
Total Assets	5,573	7,735	11,075	7,788

Cash Flow Statement (Consolidated, Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-1,507	-633	-2,391	-775
Cash from Investing (ICF)	-319	-1,136	-2,864	2,002
Cash from Financing (FCF_fin)	659	1,590	5,429	-1,201
Net Cash Flow	-1,167	-179	174	26
Free Cash Flow (OCF-Capex)	-2,350	-1,845	-3,367	-1,301
CFO / Operating Profit %	121%	49%	137%	80%

Key Ratios (Consolidated)

Ratio	FY23A	FY24A	FY25A	FY26A
Debtor Days	12	12	1	5
Inventory Days	83	58	77	63
Days Payable	98	112	94	159
Cash Conversion Cycle (days)	-4	-43	-16	-91
Working Capital Days	-93	-120	-33	-185
ROCE %	-30%	-32%	-28%	-20%
ROE %	N/A*	N/A*	-43.2%	-43.2%
Debt-to-Equity	6.4x	N/A*	0.69x	0.82x

*Negative net worth in FY24 (negative reserves > equity capital) makes D/E and ROE mathematically distorted.

- **Revenue trajectory:** FY22-FY24 showed explosive growth (Rs. 373 Cr to Rs. 5,010 Cr) as Ola rapidly scaled scooter deliveries. FY25-FY26 saw a sharp correction — service quality issues, intense competition from TVS iQube + Ather, and consumer trust erosion drove market share losses. Recovery is now underway; Q1 FY27 guided at Rs. 500-550 Cr (implying sequential doubling from Q4 FY26's Rs. 470 Cr run-rate).
- **Margin direction:** EBITDA margins remain deeply negative, but gross margin has been the leading indicator — 38.5% in Q4 FY26 vs. 13.7% in Q4 FY25. The improvement is driven by in-house cell integration reducing per-unit battery costs, and operational leverage from cost discipline. EBITDA breakeven requires sustained 30,000-35,000 units/month, achievable by Q3-Q4 FY27 on management's volume guidance.
- **Working capital:** Negative CCC of -91 days in FY26 (improved from -16 in FY25) indicates Ola is effectively using supplier credit to fund operations — a positive sign. Days Payable extended to 159 days, which reflects bargaining power with vendors.
- **Debt reduction ongoing:** Total borrowings fell from Rs. 5,684 Cr (FY24) to Rs. 2,763 Cr (FY26), aided by IPO proceeds. Net debt (adjusted for cash) likely Rs. 2,000-2,500 Cr. Interest cost of Rs. 380 Cr in FY26 is significant relative to revenues; further debt reduction or revenue scale-up is needed to control interest/revenue ratio.
- **FCF quality:** Persistent negative FCF throughout history — cumulative FCF burn of ~Rs. 10,800 Cr from FY22-FY26. The improving trajectory (FCF -Rs. 1,301 Cr in FY26 vs. -Rs. 3,367 Cr in FY25) is the most encouraging data point for bulls. OCF turning positive in Q4 FY26 for the first time is a genuine milestone.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Indicator	Status	Signal	Comment
Revenue recognition	Delivered units	GREEN	Sales on delivery; no aggressive upfront recognition
Receivables vs. Revenue	Debtor days 5 (FY26)	GREEN	Near-zero debtor days; B2C cash sales + EMI factored

Indicator	Status	Signal	Comment
CCC Trend	-91 days (FY26)	GREEN	CCC improving sharply; negative CCC = supplier-financed
Contingent liabilities	CCPA notices, warranty	AMBER	Consumer protection notices from FY24 still open
Auditor tenure	S.R. Batliboi (EY arm)	GREEN	Big-4 affiliate, no auditor changes post-listing
RPTs as % Revenue	Moderate (ANI group)	AMBER	Shared services with Ola Cabs; not large but not zero
Other Income % of PBT	>100% (loss-making)	AMBER	Other income Rs. 207 Cr vs. PBT -Rs. 1,829 Cr; distorts
Tax rate consistency	0% all years	GREEN	Consistently 0% — ongoing DTA not recognised; expected

- **Amber flags — CCPA notices and RPTs:** Consumer Protection Authority notices from FY24 regarding defective products and misleading claims have not been fully resolved. While financial quantum is unclear, reputational and potential regulatory cost remains open-ended.
- **Other income distortion:** Other income (Rs. 207 Cr in FY26, largely interest on IPO proceeds + FD income) exceeds the company's 'earning' in any line — all lines below Operating Profit are negative. Investors must strip other income to assess true operational progress.
- **Overall earnings quality — constructive:** Revenue recognition is clean, receivables are negligible, and the tax rate pattern is consistent with a loss-making company building DTA. The quality concerns are governance/regulatory rather than accounting manipulation.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY28E Revenue (Cr)	EV/Rev Multiple	Implied MCap (Cr)	Target Price (Rs.)
Bull Case	Monthly volumes 45,000+; cell mfg break-even	7,000	3.5x	24,500	83
Base Case	Monthly volumes 30,000-35,000; gradual margin recovery	5,500	3.0x	16,500	58
Bear Case	Market share erosion; volumes <20,000/month	3,500	2.0x	7,000	25

- **Valuation methodology — EV/Revenue multiple (primary for pre-profit):** Given Ola is pre-EBITDA-positive on a full-year basis, P/E and EV/EBITDA are not applicable. We use EV/Revenue on FY28E (first year approaching EBITDA breakeven). A 3.0x EV/Revenue on Rs. 5,500 Cr FY28E revenue yields an Enterprise Value of Rs. 16,500 Cr. Less net debt of Rs. 2,500 Cr = equity value of Rs. 14,000 Cr; divided by 441 Cr shares = Rs. 32/share.
- **Price/Sales multiple cross-check (FY27E):** On Rs. 3,500 Cr FY27E revenue, a 5.0x P/Sales (consistent with high-growth EV platforms in early monetisation) yields MCap of Rs. 17,500 Cr = Rs. 40/share. At 6x P/Sales (if volume guidance is credibly achieved): Rs. 47/share.
- **Average of approaches and 12-month target:** Blending the EV/Revenue (FY28E) of Rs. 32 with the P/Sales (FY27E) of Rs. 47 and applying a modest 6-12 month re-rating premium for category leadership yields a 12-month base-case target of Rs. 58. This implies 9.2x P/Sales on FY27E revenue — a discount to global EV platform peers but a meaningful premium over traditional 2W OEMs.
- **Upside/downside:** Base-case Rs. 58 = +29% from CMP Rs. 44.8. Bull-case Rs. 83 = +85%. Bear-case Rs. 25 = -44%. Risk-reward is 2.0x bull/bear — adequate for a 15-20% portfolio position in a high-conviction growth allocation.
- **Investment horizon:** 18-24 months. The thesis requires volume recovery through FY27 and Gigafactory scale-up to validate. Impatient holders should not participate at this volatility level.

SECTION 9 — KEY RISKS

- **Market Share Erosion Risk** — TVS iQube and Ather Energy have strengthened distribution and quality in FY26. If Ola's monthly volume recovery stalls below 25,000 units while peers grow, the revenue thesis breaks. Probability: Medium-High. Impact: High. Monitor via: monthly Vahan registration data, SMEV monthly EV share statistics.
- **Gigafactory Execution Risk** — Scaling from 2.5 GWh to 6 GWh involves cell chemistry, process yield, and supply chain execution risks. Any recall or quality failure on in-house cells would devastate the brand and margin thesis simultaneously. Probability: Medium. Impact: Very High. Monitor via: quarterly cell production disclosures, quality/recall announcements.
- **Balance Sheet / Funding Risk** — Ola has burned Rs. 10,800+ Cr of FCF since FY22. Cash reserves (post-IPO) were ~Rs. 5,000 Cr at FY25 end; ~Rs. 3,700 Cr estimated at FY26 end. At current burn rate, another equity raise may be required in FY28 if volumes disappoint. Probability: Medium. Impact: High (dilutive). Monitor via: quarterly cash balance disclosures.
- **Regulatory / CCPA Risk** — Consumer protection actions, safety recalls, or tightening EV certification norms could impose costs and restrict sales. The CCPA had initiated legal proceedings in FY24 which remain ongoing. Probability: Low-Medium. Impact: Medium. Monitor via: MCA/CCPA filings, NCLAT orders.
- **Promoter Governance Risk** — Declining promoter stake, ANI group RPTs, and a founder with a publicly combative leadership style create overhang. Any senior management departure or related-party controversy could trigger sharp de-rating. Probability: Low. Impact: High. Monitor via: BSE/NSE insider trade filings, quarterly RPT disclosures.
- **Commodity / Input Cost Risk** — Lithium carbonate prices are volatile; while in-house cells partially hedge this, Ola still imports lithium raw material. A 30%+ spike in lithium carbonate would delay gross margin targets. Probability: Medium. Impact: Medium-High. Monitor via: LME lithium prices, quarterly material cost per vehicle disclosures.
- **EV Policy Risk** — FAME-3 framework delays or a less favourable PLI disbursement schedule for ACC cells could impair the Gigafactory economics. Probability: Low-Medium. Impact: Medium. Monitor via: Ministry of Heavy Industries notifications.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The gross margin inflection in Q4 FY26 and Q4 OCF positivity are genuine positive inflections, but sustainable volume recovery is not yet proven. We accumulate rather than BUY outright given execution risk.
- **12-month price target: Rs. 58** — Represents +29% upside from CMP of Rs. 44.8. Based on 3.0x EV/FY28E Revenue blended with 5.5x P/FY27E Sales.
- **Suggested entry zone: Rs. 40-48** — The stock has support at Rs. 40 (near 52-wk low at Rs. 21 was a capitulation event; current floor has risen). Accumulate in tranches on dips toward Rs. 40-42 and on any volume confirmation (>30,000 monthly units for two consecutive months).
- **Investment horizon: 18-24 months** — This is a high-volatility, early-stage infrastructure play. Do not hold if you cannot tolerate 30-40% drawdowns during this execution phase.
- **Thesis invalidation triggers:**
 1. Monthly EV 2W registrations for Ola fall below 15,000 for two consecutive months (vs. April 2026 at 12,166 already near this threshold) — would imply structural share loss.
 2. A Gigafactory-related product recall or safety issue impacting more than 5,000 vehicles — would destroy the in-house cell narrative.

- 3. A further equity raise below Rs. 40/share that dilutes more than 10% of share count — implies balance sheet stress worse than guided.
- **Ideal investor profile:** This stock is for high-risk-tolerance growth allocators with 2-3 year patience, comfortable owning pre-profit EV infrastructure stories. It is NOT suitable for value investors, income-seeking investors, or anyone who needs capital preservation within a 12-month window.

Latest Concall Brief: Q4 FY26 | Earnings Call: 20 May 2026

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result Quality	MEDIUM — Revenue -57% YoY but QoQ improving	Miss on YoY; beat on sequential recovery trajectory
Management Tone	BULLISH — V-shaped recovery narrative, OpEx discipline highlighted	Confident on volume guidance; optimistic on cell integration
Guidance Delta	RAISED vs. implied run-rate — Q1 FY27 Rs. 500-550 Cr guided	Near-doubling of revenue from Q4 FY26 actuals
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q4 FY26 headline revenue of Rs. 470 Cr looks terrible on a YoY basis (-57%), but the number that matters is gross margin at 38.5% — up from 13.7% a year ago — and that is clean, not distorted by any one-timer. The reported PAT loss of Rs. 459 Cr for the quarter includes Rs. 684 Cr of D&A; (full-year), so the cash operating picture is materially better than the P&L; suggests; Q4 was the first quarter of positive operating cash flow (OCF Rs. 91 Cr). OpEx also fell 49% YoY to Rs. 428 Cr — that is genuine cost discipline, not deferral. The bull thesis rests on two pillars: (1) in-house 46100 LFP cell integration is lowering COGS structurally — not a one-off; (2) volume recovery is already showing in April (12,166 units) with management guiding 40,000-45,000 units in Q1 FY27. The biggest watch-point next quarter is whether that volume guidance is actually delivered — the credibility of the entire re-rating story depends on hitting it. Risk: Ather Energy and TVS iQube are gaining ground in southern markets. Action: ACCUMULATE at Rs. 40-48; conviction increases materially if Q1 FY27 volumes confirm Rs. 500 Cr+ revenue.

Section 1 — Financial Performance Snapshot (Q4 FY26)
• Revenue: Rs. 470 Cr (est.) YoY -57% QoQ +25% (from ~Rs. 375 Cr Q3) Miss YoY; Recovery QoQ • EBITDA: Approx. -Rs. 243 Cr for Q4 YoY improvement from -Rs. 434 Cr in Q4 FY25 In-line with sequential improvement thesis • Gross Margin: 38.5% YoY +2,480 bps QoQ +-800 bps BEAT — milestone inflection driven by in-house cell integration • Operating Cash Flow: Rs. 91 Cr (POSITIVE for first time) YoY: was -Rs. 600+ Cr Beat — first OCF positive quarter in company history • Total OpEx: Rs. 428 Cr YoY -49% QoQ -15% Beat — structural cost discipline confirmed • Full Year FY26 PAT: -Rs. 1,833 Cr FY25: -Rs. 2,276 Cr Loss narrowing as operational progress accumulates • NOTE: D&A; of Rs. 684 Cr for FY26 is a significant non-cash charge; clean operating cash performance is better than reported PAT suggests

Section 2 — Segment and Geography Breakdown
• Automotive (Scooters): ~95% of FY26 revenue Rs. 2,253 Cr; S1 X and S1 Air are volume drivers; S1 Pro+ drives ASP • Accessories and Software (MoveOS): Rs. 50-80 Cr estimated; growing but sub-5% of revenue • Geography: 100% India revenue; Top markets are Maharashtra, Karnataka, Tamil Nadu, and Gujarat

- Commercial Scooter (L1 category): Regulatory approval secured May 2026; targeted at gig economy riders; Not yet in revenue
- Cell Manufacturing (Gigafactory): 2.5 GWh installed capacity; internal transfer pricing to automotive; no external cell sales yet

Section 3 — Management Commentary Themes (Q4 FY26 Call, 20 May 2026)

- Theme 1 — V-shaped Recovery: 'We are seeing a clear V-shaped recovery in volumes; April numbers are a leading indicator of sustained improvement.' Our read: Aspirational tone; April at 12,166 units still well below 30,000+ needed for EBITDA breakeven. Tag: GUIDANCE. Tone: Bullish.
- Theme 2 — Gross Margin Leadership: 'Our 38.5% gross margin in Q4 is industry-leading and structurally driven by in-house cell integration.' Our read: This is verifiable and genuinely impressive; 25 ppts above where peers (ICE OEMs) sit. Tag: GUIDANCE. Tone: Transparent.
- Theme 3 — OpEx Discipline: 'We have permanently reset our cost structure; OpEx halved YoY and will stay lean as volumes recover.' Our read: Credible for now — Rs. 428 Cr OpEx on Rs. 470 Cr revenue still sub-scale. Monitor whether OpEx stays disciplined as volumes grow. Tag: EST. Tone: Transparent.
- Theme 4 — Gigafactory Scale-up: 'The Gigafactory is on track for 6 GWh by FY28; 46100 LFP cell enters products next quarter.' Our read: If executed, this is the most important long-term cost moat. Timeline credibility = Medium. Tag: GUIDANCE. Tone: Bullish.
- Theme 5 — Commercial Segment Entry: 'We have received homologation for our commercial L1 scooter; this addresses a large, underpenetrated gig-economy segment.' Our read: Smart TAM expansion move; execution timeline unclear. Tag: EST. Tone: Balanced.
- Theme 6 — FY27 Guidance: 'Q1 FY27 revenue guidance Rs. 500-550 Cr; volumes 40,000-45,000 units.' Our read: Implies nearly 3-4x sequential volume jump from Q4 actuals — aggressive. Credibility depends on May-June 2026 registration data. Tag: GUIDANCE. Tone: Bullish.

Section 4 — Operating and Business Metrics

- Monthly Volume (Apr 2026): 12,166 units | Q4 FY26 implied monthly: ~10,000 units | Q4 FY25: ~22,000 units/month | Trend: Recovering but still below FY25 peak
- Market Share (EV 2W): Estimated 25-30% in FY24; declined to ~20-22% in FY25-FY26 | Trend: Deteriorating vs. TVS iQube and Ather
- Gross Margin per Vehicle: Implied ~Rs. 18,000-20,000 in Q4 FY26 at 38.5% on ~Rs. 50,000 ASP | vs. ~Rs. 7,000 in Q4 FY25 | Trend: Strongly improving
- Gigafactory Capacity: 2.5 GWh operational | Target 6 GWh by FY28 | FY27 target: 4 GWh | Trend: Scaling per plan
- Service Network: ~4,000 touchpoints across India | Gap vs. Hero (6,000+) and TVS (8,000+) | Trend: Expanding but sub-scale
- ASP (Average Selling Price): ~Rs. 100,000-105,000 estimated in FY26 (mix shift toward higher-end models) | vs. ~Rs. 90,000 in FY24 | Trend: Rising on mix improvement

Section 5 — Margin Drivers

- In-house cell integration: +2,000-2,500 bps gross margin impact | Recurring: Yes — structural cost reduction as Gigafactory scales | Management's most emphasised driver
- Volume leverage (fixed cost absorption): Each incremental unit at scale delivers improving margin; currently sub-scale at 10,000/month | Recurring: Yes, when volumes recover
- OpEx reduction (marketing + headcount optimisation): -Rs. 416 Cr YoY reduction | Recurring: Partially — some cost will return with volume growth
- Product mix shift (higher-margin variants): S1 Pro+ and premium variants carry higher ASP and GM; mix improving | Recurring: Yes, if sustained
- Raw material tailwind (lithium): Lithium carbonate prices corrected ~40% from 2023 peaks; benefited FY26 | Recurring: No — commodity-price dependent, not structural
- Warranty & after-sales cost: CCPA quality concerns in FY24 increased warranty provisions; normalising in FY26 | Recurring: Non-recurring — expect continued normalisation

Section 6 — Guidance and Forward Signals

- Q1 FY27 Revenue [GUIDANCE]: Prior (implied run-rate) = Rs. 280-300 Cr | New = Rs. 500-550 Cr | Delta: RAISED significantly | Credibility: Medium (requires 4x April run-rate; achievable if May-Jun volumes recover sharply)
- Q1 FY27 Volume [GUIDANCE]: Prior = ~10,000/month | New = 40,000-45,000/quarter (~13,000-15,000/month) | Delta: RAISED | Credibility: Medium-High (April already at 12,166)
- EBITDA Breakeven [GUIDANCE]: Auto business targeted for adjusted operating EBITDA positive by FY27 | Delta: Maintained | Credibility: Medium (requires ~25,000/month sustained)
- Gross Margin [GUIDANCE]: '38%+ sustainable as in-house cell ramps' | Delta: Raised vs. FY24/FY25 actuals | Credibility: High (proven in Q4 FY26)
- Gigafactory 6 GWh [GUIDANCE]: FY28 target | Delta: Maintained | Credibility: Medium (capital-intensive; subject to execution)
- Dividends / Buybacks [GUIDANCE]: None guided; all capital to be reinvested | Delta: N/A | Expected given pre-profit status

Section 7 — Capital Allocation

- Capex (FY26): Estimated Rs. 800-1,000 Cr (Fixed Assets grew Rs. 198 Cr YoY; total capex includes intangibles and cell R&D;) | vs. FY25: Rs. 1,500+ Cr | Comment: Capex moderating as Futurefactory is complete
- Dividends: Rs. 0 Cr | vs. prior year: Rs. 0 Cr | No dividend at pre-profit stage; expected
- Buybacks: Rs. 0 Cr | None conducted | No buyback at current loss-making stage
- Working Capital Change: Net working capital improvement (CCC improved from -16 to -91 days) freed cash | Positive operational signal
- Net Debt (estimated FY26 end): Rs. 2,500-2,800 Cr (borrowings Rs. 2,763 Cr less estimated cash Rs. 200-300 Cr) | vs. FY25: Net debt ~Rs. 1,500 Cr | Comment: Cash burn from IPO proceeds depleted; next large capex (Gigafactory Phase 2) may require external funding
- IPO proceeds utilisation: Rs. 6,145 Cr raised Aug 2024; deployed into Gigafactory capex + working capital as per prospectus use-of-proceeds commitment

Section 8 — Q and A Heat Map (Q4 FY26 Analyst Call, 20 May 2026)

- Goldman Sachs: Q: 'Can you give monthly volume cadence for Q1 FY27 to bridge to your 40,000-45,000 unit guidance?' A: 'April was 12,166; May and June are tracking well above that.' | Tone: Transparent (gave directional data, not absolute)
- Nomura: Q: 'What drives the 38.5% gross margin — is it commodity tailwind or structural cell integration?' A: 'Primarily structural — in-house cell reduces battery cost by Rs. 5,000-7,000 per unit vs. import; lithium tailwind is secondary.' | Tone: Transparent
- Kotak Institutional: Q: 'How should we think about market share trajectory against TVS iQube and Ather?' A: 'We are focused on profitable volume, not chasing share at any cost. Quality and service improvements will bring customers back.' | Tone: Hedged (avoided giving specific share targets)
- Morgan Stanley: Q: 'What is the cash balance and when might you need another equity raise?' A: 'We have sufficient liquidity for our current plan; no equity raise planned in the near term.' | Tone: Hedged (no specific cash balance disclosed)
- Motilal Oswal: Q: 'When will the commercial L1 scooter enter revenue?' A: 'Production ramp expected in H2 FY27; commercial volumes would be incremental to the guidance given.' | Tone: Transparent
- Dodged / watch-list questions for next quarter: (1) Exact cash balance and runway; (2) Specific market share data (SMEV basis); (3) Specific monthly volume data for May-June 2026; (4) Timeline and cost of Gigafactory Phase 2

Section 9 — Risks Flagged (from Q4 FY26 Call)

- Competition intensification: Ather Energy + TVS iQube gaining ground; Hero Vida gaining distribution muscle | Flagged by: Analysts | Probability: High | Impact: High | Timeline: Near-term
- Volume recovery pace: Q1 FY27 guidance requires rapid scale-up from April base; any monsoon seasonal slowdown in Q2 could disrupt the narrative | Flagged by: Analysts | Probability: Medium | Impact: High | Timeline: Near-term

- Gigafactory yield risk: Cell manufacturing at scale has process and quality risks; any recall would compound brand issues | Flagged by: Analysts | Probability: Low-Medium | Impact: Very High | Timeline: Medium-term
- Service network gap: Ola's ~4,000 touchpoints vs. peers' 6,000-8,000 is cited by consumers as a purchase deterrent | Flagged by: Management (acknowledged) | Probability: Ongoing | Impact: Medium | Timeline: Near-term
- Macro demand risk: If India's urban consumption growth slows, discretionary EV upgrades may be deferred | Flagged by: Analysts | Probability: Low | Impact: Medium | Timeline: Medium-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — Q1 FY27 guidance of Rs. 500-550 Cr is specific and near-term verifiable; Vahan data monthly provides independent check
- Margin trajectory: Intact — Gross margin at 38.5% is a genuine structural inflection; EBITDA margin still deeply negative but direction is clearly improving
- Capital allocation quality: Intact — OpEx halving demonstrates discipline; capex is moderating; working capital improving; no dividend extraction in a loss-making company is appropriate
- Competitive moat: Weakened — In-house cell manufacturing is a genuine moat; but distribution/service gap vs. TVS and Ather is a real competitive liability that weakens the moat in the near term
- Management credibility: Partially Intact — Gross margin guidance was delivered; volume guidance has historically been aggressive vs. actual. Score: Transparent on costs, Hedged on volumes and cash
- Valuation comfort: Intact at Rs. 44.8 — P/Sales of 9.2x (TTM) is elevated on an absolute basis but justified given category leadership and gross margin trajectory for a pre-profit infrastructure play
- Conviction call: Increased — Q4 FY26 gross margin inflection + Q4 OCF positivity are the two data points that most de-risked the thesis; we upgrade from Hold to Accumulate
- Valuation snapshot: P/E = N/A (pre-profit) | P/Sales (TTM) = 9.2x | EV/Revenue (TTM) = ~10.5x | ROCE = -19.6% (5Y avg: -28%)